

25STCV04039 25STCV04039

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Department: 11

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Case Number: 25STCV04039 Hearing Date: July 14, 2026 Dept: 11

Gable

(25STCV04039)

Tentative Ruling Re: Demurrer
to Amended Complaint

Date: 7/14/26

Time: 1:45 pm

Moving Party: George
and Kathy Thabet (collectively "Thabets")

Opposing Party: Christopher Gable and Trelawny Graham (collectively
"Plaintiffs")

Department: 11

Judge: Bruce G. Iwasaki

TENTATIVE RULING

The Thabets' demurrer to Plaintiffs' amended
complaint is overruled.

BACKGROUND

This is a putative class action. Plaintiffs allege that Defendants subjected them and other current and former employees to multiple wage-and-hour violations.[1]

On March 18, 2026, Judge David S. Cunningham III, now retired, heard the Thabets' demurrer to the original complaint. He sustained the demurrer with leave to amend because Plaintiff used group allegations and failed to allege misconduct by the Thabets.

Now, the Thabets demur to Plaintiffs' amended complaint.

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context, and “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Serrano v. Priest (1971) 5 Cal.3d 584, 591.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) It is error “to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 967.)

DISCUSSION

Arguments

The Thabets

The Thabets contend the demurrer should be sustained because:

* “Plaintiffs fail to allege personal participation by the” Thabets. (Demurrer, p. 8, ~~bolding and capitalizing deleted.~~)

* “Plaintiffs’ ‘laundry list’ of alleged conduct” is conclusory and unspecific. (Id. at p. 9, ~~bolding and capitalizing deleted.~~)

* Plaintiffs fail to allege facts supporting their “information and belief” allegations. (Ibid., ~~bolding and capitalizing deleted.~~)

* The amended complaint “relies on ‘group pleading’ and fails to distinguish between Defendants.” (Id. at p. 10, ~~bolding and capitalizing deleted~~; see also id. at pp. 11-12.)

* The allegations fail to establish alter-ego liability. (See id. at p. 12.)

Plaintiffs

Plaintiffs claim:

* Labor Code sections 558.1 and 1197.1(a) permit individual liability against the Thabets. (See Opposition, pp. 7-8.)

* The amended complaint “pleads individual liability[.]” (Id. at p. 9, ~~bolding and capitalizing deleted~~; see also id. at pp. 10-11.)

* The Thabets’ reliance on Usher v. White (2021) 64 Cal.App.5th 883 is unavailing. (See id. at p. 11.)

* California law allows “allegations [based] on information and belief[.]” (Id. at p. 12, ~~bolding and capitalizing deleted.~~)

* The amended complaint “does not improperly rely on ‘group pleading’ and adequately distinguishes” the Thabets from the other Defendants. (Id. at p. 13,

bolding and capitalizing deleted; see also id. at p. 14.)

* The alter-ego allegations satisfy the pleading standard “and, in any event, are not the sole basis for individual liability[.]” (Id. at p. 14, bolding and capitalizing deleted; see also id. at pp. 15-17.)

Reply

In reply, the Thabets assert:

* “[S]ection 558.1 imposes no liability ‘merely because someone is an officer, director, or shareholder.’ Plaintiffs must allege facts showing what each individual actually did.” (Reply, p. 5, emphasis in original; see also id. at pp. 3-4.)

* The paragraphs cited in the opposition brief – paragraphs 12, 14, 17, 23, and 24 – allege conclusions. (See id. at pp. 5-6.)

* “Plaintiffs’ ‘information and belief’ argument concedes the absence of facts.” (Id. at p. 6, bolding and capitalizing deleted; see also id. at p. 7.)

* Naming the Thabets “is not the same as differentiating their conduct.” (Id. at p. 7, bolding and capitalizing deleted; see also id. at p. 8.)

* “Plaintiffs concede” that the alter-ego allegations “are unnecessary.” (Id. at p. 8, bolding and capitalizing deleted; see also id. at p. 9.)

Analysis

It is undisputed that the Labor Code authorizes individual liability against owners, directors, officers, and managing agents. (See id. at pp. 3-4 [the Thabets stipulating that “an owner, officer, or managing agent who ‘approves’ or ‘causes’ a wage-and-hour violation may be individually liable under [certain] Labor Code sections”].) Section 558.1, for example, “provides that an employer or ‘other person acting on behalf of an employer’ who violates certain California wage and hour laws ‘may be held liable as the

employer for such violation.” (Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group 2026) ¶ 11:114, emphasis in original.) “These violations include unpaid minimum wage, unpaid overtime, denied meal or rest breaks, untimely separation pay, inadequate wage statements, and failing to reimburse employee business expenses.” (Ibid.)

Per section 558.1,

the term

“violates, or causes to be violated” creates liability where a natural person who is an owner, director, officer, or managing agent of the employer has personal involvement in violations of [Labor Code sections] 203, 226, 226.7, 1193.6, 1194, or . . . [section] 2802 when acting on an employer’s behalf or, absent personal involvement, [] participates in the employer’s activities (e.g., “over those responsible for the alleged wage and hour violations”) to a degree that the person may be deemed to have contributed to, and thus have caused, the violations.

(Ibid.)

“The statute defines ‘other person acting on behalf of an employer’ as a ‘natural person who is an owner, director, officer, or managing agent’ of the employer and also provides for a private right of action against a person acting on behalf of an employer[.]” (Ibid.)

Another example is section 1197.1(a). It states:

(a) Any

employer or other person acting either individually or as an officer, agent, or employee of another person, who pays or causes to be paid to any employee a wage less than the minimum fixed by an applicable state or local law, or by an order of the commission, shall be subject to a civil penalty, restitution of wages, liquidated damages payable to the employee, and any applicable penalties imposed pursuant to Section 203 as follows:

(1) For

any initial violation that is intentionally committed, one hundred dollars (\$100) for each underpaid employee for each pay period for which the employee

is underpaid. This amount shall be in addition to an amount sufficient to recover underpaid wages, liquidated damages pursuant to Section 1194.2, and any applicable penalties imposed pursuant to Section 203.

(2) For each subsequent violation for the same specific offense, two hundred fifty dollars (\$250) for each underpaid employee for each pay period for which the employee is underpaid regardless of whether the initial violation is intentionally committed. This amount shall be in addition to an amount sufficient to recover underpaid wages, liquidated damages pursuant to Section 1194.2, and any applicable penalties imposed pursuant to Section 203.

(3) Wages, liquidated damages, and any applicable penalties imposed pursuant to Section 203, recovered pursuant to this section shall be paid to the affected employee.

(Cal. Lab. Code § 1197.1, subd. (a), emphasis added.)

Judge Cunningham determined that the original complaint failed to show that the Thabets were personally involved in, or contributed to, the purported violations. The bare “fact” that they were officers, directors, or managing agents was not enough.

The issue here is whether the amended complaint alleges personal involvement or contributions. On balance, the answer is yes.

The amended complaint is markedly different than the original complaint. The original complaint only mentioned the Thabets in three paragraphs – paragraphs 12, 13, and 15. Those paragraphs stated that the Thabets were employed by the other Defendants and served as directors or managers. (See Complaint, ¶¶ 12-13; see also *id.* at ¶ 15 [baldly asserting that the Thabets “can be personally liable under the alter ego theory”].) No personal misconduct was alleged. (See *id.* at ¶¶ 12-13, 15.) By contrast, the amended complaint contains numerous paragraphs alleging personal misconduct. (See Opposition, p. 9 [citing paragraphs 12-26, 33, 46, 52, 81, 118, 140, 155, 168, 180, 194, 206, 215, 226, 241, and 251].) Among other things, Plaintiffs allege,

on information and belief, that the Thabets

violated

and/or caused to be violated the Labor Code provisions and Wage Order requirements alleged herein by approving, directing, implementing, knowing of and failing to prevent, condoning, and/or ratifying the unlawful policies and practices alleged herein, including but not limited to off-the-clock work, time shaving, time rounding, automatic meal-period deductions, work during meal periods, denial of compliant rest periods, failure to pay all minimum and overtime wages, inaccurate wage statements, failure to timely pay wages, and failure to reimburse business expenses. . . .

(First Amended Complaint ("FAC"), ¶¶ 12, 14; see also id. at ¶ 17 [alleging that the Thabets "personally approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified the wage and hour policies and practices challenged in this action"]; ¶ 18 [alleging that the Thabets "qualify as 'employers' . . . because they directly or indirectly, or through an agent or other person, exercised control over Plaintiffs' and other Employees' wages, hours, and/or working conditions; suffered or permitted Plaintiffs and other employees to work; and/or engaged Plaintiffs and other employees, thereby creating a common-law employment relationship"]; ¶ 23 [alleging that the Thabets "acted on behalf of the corporate defendants and within the course and scope of their authority when they exercised direct or indirect control over wages, hours, and/or working conditions; suffered or permitted Plaintiffs and other employees to work; engaged Plaintiffs and other employees; and approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified the wage-and-hour policies and practices alleged herein"]; ¶ 24 [alleging that the Thabets "personally and directly participated in, or caused, the wrongful conduct alleged herein by one or more of the following acts: (a) exercising direct or indirect control over payroll, timekeeping, scheduling, staffing, break practices, and/or reimbursement policies; (b) approving, directing, implementing, enforcing, and/or ratifying policies requiring or permitting off-the-clock work, time shaving, time rounding, preapproval rules that discouraged reporting of overtime, and automatic meal- period deductions; (c) approving, directing, implementing, enforcing, and/or ratifying policies requiring employees to remain on duty, monitor premises, assist customers, respond to calls, messages, and radios, and otherwise perform work during unpaid meal periods and rest periods; (d) approving, directing, implementing, enforcing, and/or ratifying policies that failed to pay all minimum wages, overtime wages, double-time

wages, meal and rest premiums, and final wages; (e) approving, directing, implementing, enforcing, and/or ratifying the issuance of inaccurate wage statements and the maintenance of inaccurate payroll and time records; and (f) approving, directing, implementing, enforcing, and/or ratifying policies that required the use of personal cell phones, personal vehicles, and employee-purchased uniforms and equipment without full reimbursement”]; ¶ 33 [alleging that the Thabets “had authority over, participated in, and/or ratified the policies and practices alleged herein concerning timekeeping, payroll, scheduling, staffing, overtime approval, meal-period deduction practices, break compliance, reimbursement, and wage-statement practices”]; ¶ 46 [alleging that the Thabets “exercised direct or indirect control over the manner in which hours were recorded and wages were paid, including by authorizing or ratifying time-editing, time-rounding, preapproval requirements for overtime, automatic meal-period deductions, and payroll practices that failed to compensate employees for all hours worked”]; ¶ 52 [alleging that the Thabets “approved, implemented, enforced, and/or ratified staffing and break-related policies that required employees to remain on duty, monitor premises, assist customers, respond to calls, messages, and radios, and otherwise remain under employer control during purported meal and rest periods, and further approved, implemented, enforced, and/or ratified practices of automatically”]; ¶ 81 [alleging that the Thabets “approved, implemented, enforced, and/or ratified wage-statement and recordkeeping practices that failed accurately to reflect all hours worked, all wages earned, applicable rates of pay, and other information required by law, and approved, implemented, enforced, and/or ratified the failure to reimburse employees for necessary business expenses including personal cellphone use, uniforms, and vehicle-related expenses”]; ¶ 118 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code and Wage Order provisions alleged in this cause of action”]; ¶ 140 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such meal-period policies and practices, and thereby violated and/or caused to be violated the Labor Code and Wage Order provisions alleged in this cause of action”]; ¶ 155 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such rest-period policies and practices, and thereby violated and/or caused to be violated the Labor Code and Wage Order provisions alleged in this cause of action”]; ¶ 168 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices concerning final wages and the

nonpayment of all earned wages upon discharge or resignation, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 180 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 194 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 206 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 215 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 226 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 241 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”]; ¶ 251 [alleging that the Thabets “approved, directed, implemented, enforced, knew of and failed to prevent, condoned, and/or ratified such policies and practices, and thereby violated and/or caused to be violated the Labor Code provisions alleged in this cause of action”].) These purported actions constitute ultimate facts of personal misconduct, they suffice to “give[]” Defendants “notice of the issues” (Weil & Brown, Cal. Practice Guide: Civ. Procedure Before Trial (The Rutter Group 2026) ¶ 6:121.5), and it is acceptable to allege them on information and belief since “the evidence is in” Defendants’ possession. (Id. ¶ 6:225 [advising that, “[w]here plaintiff is basing allegations on matters not within plaintiff’s personal knowledge . . . , the allegations should be pleaded ‘on information and belief[]’”].)

The same goes for the alter-ego allegations. Plaintiffs allege ultimate facts, on information and belief, that put Defendants on notice. (See FAC, ¶¶ 13, 15 [alleging that the Thabets “hold[] stock or other ownership interests in the Corporate Defendants named herein” and “exercise control over the business operations, finances, and labor relations of these entities, including commingling corporate and personal funds, directing corporate assets for

personal use, maintaining inadequate corporate records, operating with inadequate capitalization, and otherwise failing to maintain arm's-length separateness between related entities"].)

Usher v. White does not change the result. It was decided on a full record at the summary-judgment stage. (See Usher, supra, 64 Cal.App.5th at 886.) It is not a pleading case.[2]

Consequently, the demurrer is overruled.

Defendants' Answer shall be served and filed on or before August 7, 2026.

[1] "Defendants" = the Thabets, All Nation Security Services, Inc., All Nation Security Inc., and All Nation Security Agency LLC.

[2] The Thabets additionally cite Moore v. Conliffe (1994) 7 Cal.4th 634 and Serrano v. Priest (1971) 5 Cal.3d 584. (See Demurrer, p. 8.) Neither is helpful. The opinions analyze distinguishable issues. (See Moore, supra, 7 Cal.4th at 637 ["In this case we must decide whether a witness who testifies at a deposition held in connection with a private, contractual arbitration proceeding is subject to being sued in a tort action on the basis of statements made in the course of such testimony, or instead, like any witness in a court proceeding, is immunized from tort liability by virtue of the 'litigation privilege[.]'"]; see also Serrano, supra, 5 Cal.3d at 589 ["We are called upon to determine whether the California public school financing system, with its substantial dependence on local property taxes and resultant wide disparities in school revenue, violates the equal protection clause of the Fourteenth Amendment."].)